Abhijit Tagade

CONTACT INFORMATION

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PLACEMENT DIRECTOR: Matthias Doepke
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EDUCATION

London School of Economics, Ph.D. in Economics — Expected 2027
Harvard University, Department of Economics, Fellow — 2024
Hosts: Xavier Gabaix, Raj Chetty

Paris School of Economics / EHESS, Master A.P.E. — 2020
Fields: Theory, economic history; *Advisor:* Thomas Piketty
Columbia University, M.A. in Economics and Education — 2017
University of Madras, B.Sc. in Mathematics — 2013

FIELDS

Primary: Financial economics, public
Secondary: Innovation, industrial organization, macroeconomics

REFERENCES

Professor Philippe Aghion	Professor Xavier Jaravel	Professor John Van Reenen
INSEAD and Collège de France	London School of Economics	London School of Economics
philippe.aghion@insead.edu	x.jaravel@lse.ac.uk	j.vanreenen@lse.ac.uk

JOB MARKET PAPER

Creation, Destruction and the Social Value of Innovations.

ABSTRACT: I measure the social value of innovations by the market value they create and destroy for producers and consumers. Using stock market reactions of the universe of listed firms in the United States to patent grants for over four decades (1981-2024), I estimate that for each dollar of private value created for the innovator, other listed firms gain $1.07 on net. This external value varies widely by firm and sectors, but has on aggregate grown over time as a share of the US economy. My forward looking estimates of spillovers value predicts higher subsequent sales, operating earnings, and productivity for firms, and translates to higher output and reduced prices when aggregated across firms within sector. To provide a comparison with welfare, I build and calibrate a general-equilibrium model of creative destruction in production and knowledge networks. When an innovator takes a product from a rival, the rival's technology caps the new price, so the rival's current economic profit goes to buyers through a lower price. Each dollar of private value is worth at least $5 of consumption to the household in present value. Holding total research fixed, moving it toward the largest firms raises welfare by at least 2 percent of consumption.

WORKING PAPERS

Who Certifies the Machine: Limits to Gains from AI-Assisted Work. (2026)

ABSTRACT: AI lowers the cost of generating output, but not the cost of certifying it. We study a worker who can either produce a task directly or delegate it to AI and repair the output, while bearing a reputation cost for certifying output that proves to be wrong. Optimal behavior sorts non-monotonically in task difficulty: the worker delegates and repairs the easiest tasks, produces intermediate ones directly, delegates the hardest tasks and verifies them up to their ability, and declines to either produce or delegate what they cannot understand. This opens a wedge between what is "shipped" and what is "warranted": as AI assistance improves, the binding constraint shifts to what the worker can certify. Productivity need not rise and worker effort need not fall with improvements in AI, as the worker's own ability to produce and discriminate output becomes important. Yet the same mechanism can make deskilling privately rational, as ever more effort is needed to verify increasingly correct-looking output. We present a few extensions: the gains from breaking complex tasks into simpler pieces, the non-diversifiability of risk from latent defects in AI, and implications for jobs as bundles of tasks that vary in complexity.

On the Shoulders of Giants: Financial Spillovers in Innovation Networks. (2025)
With Bijan Aghdasi. *CEP Discussion Paper 2117*. (*Link*)

ABSTRACT: Do markets price knowledge spillovers? We show that patent grants influence the stock returns of firms that are connected through technological knowledge dependencies. Using directed patent citations among publicly listed companies in the United States, we construct a granular measure of each firm's exposure to new patents granted to its technologically upstream firms. Patents granted to these upstream companies significantly boost its abnormal stock returns during the week of the grant. We find that these financial spillovers are predominantly localized within a firm's immediate technological connections. Additionally, we provide a novel empirical decomposition of financial spillovers generated from patent grants, by distinguishing those spillovers emerging from sources of technological knowledge, from those emerging from product market rivals (negative effect) and suppliers (positive effect). Our findings are robust to alternative specifications and placebo tests, and they suggest that technological knowledge spillovers create important market-priced ties between firms that are not fully captured by traditional product market relationships.

Innovation Networks and Business-Stealing. (2023)
With Philippe Aghion, Matthew O. Jackson and Antoine Mayerowitz.
CEPR Discussion Paper 17911. (*Link*)

ABSTRACT: We use the universe of US Patent and Trademark Office (USPTO) data on patents and inventors from 1976 to 2017 to look at how inventors' potential concern for business-stealing affects coauthorship on patents. First, we find an inverted-U shape in the fraction of coauthors that an inventor has per year who are new as a function number of other inventors also working in an inventor's field. Second, we find that after a breakthrough invention, an inventor brings in persistently fewer than usual new coauthors. Third, a higher potential concern for business stealing—as measured either by the number of others working or the average price markups by firms in the area—leads to a higher drop in the fraction of new co-authors per patent after a breakthrough. We show how these patterns can be explained via a simple model in which inventors trade off gains from collaboration against threats of business stealing.

WORKS IN PROGRESS

Adoption of Innovations.
With Xavier Jaravel and Josh Lerner.

ABSTRACT: Growth models often assume that new products reach and benefit all consumers, yet evidence on who adopts and values which innovations covers only narrow product categories. We survey US adults about 169 innovations in 16 areas of daily life, recording whether and when they adopted each one and how it changed their own lives and society. Perceived impact follows a power law: the top five percent of products and services account for most of the above-average private and social impact of innovations, and for more than half of the variation in private impact. Groups that differ by income, education, age or race disagree about which innovations matter most. Linking the innovations to patents, firms and venture funding, we find that venture investment flows disproportionately toward the products and services consumers value most.

Network Effects under Measurement Errors.
With Isaac Meza and Yu-Jia Wang.

ABSTRACT: Observed social and economic networks are often mismeasured, and as a consequence standard estimates of network effects are biased and the effects are only partially identified. We model the observed network as a known but non-invertible map of the true underlying network and study identification of linear and nonlinear network effects under a general class of mismeasurements. We develop a sharp identified set using known sources of mismeasurement that provides robust bounds containing the observed network, with the downside that it can be computationally intractable under nonlinear settings. To address this, we build a robust identified set on a Wasserstein ball around the observed network, so the measurement process does not need to be inverted. This set is bounded under a full-rank condition, which nonlinear network effects can satisfy without auxiliary information on the true network, but that can be

refined by researcher's knowledge of the nature of mismeasurement. We characterize both sets in closed form for the linear-in-means specification with thresholded links, and provide a radius that contains the true effect. In simulations, we show the degree to which estimates that ignore the mismeasurement are biased, while both identified sets cover the true effect.

Linked Ideas and Fortunes: Pricing Assets in General Equilibrium.

ABSTRACT: I derive a general equilibrium value multiplier that characterizes to the first order the surplus created and destroyed by productivity improvements in a large class of economies with arbitrary firm-to-firm supply chains and product market competition. In the aggregate, it nests Hulten's theorem under perfect competition and Baqaee-Farhi's formulas under exogenous wedges. Beyond the aggregate, its endogenous distributional effects have an asset pricing interpretation where each firm's marginal stock return is its entry in the value multiplier capturing cash flows and risk. Finally, I characterize a dynamic value multiplier to the first order that shows how a technological improvement endogenously spurs further improvements for peer firms that learn from it. These multipliers provide a market based wedge which is a sufficient statistic for optimal research allocation that maximizes total shareholder value, and under a correction, of welfare.

PUBLICATIONS

Innovation Networks and Business-Stealing. (2023) (*Link*)
The Economics of Creative Destruction, Harvard University Press, ed. Ufuk Akcigit and John Van Reenen. With Matthew O. Jackson and Antoine Mayerowitz.

Analytical Tools in Private Equity: Return Bridge. (2019) (*Link*)
Harvard Business School Background Note 220-019. With Victoria Ivashina.

Valuation Techniques in Private Equity: LBO Model. (2018) (*Link*)
Harvard Business School Background Note 218-106. With Victoria Ivashina and Alexey Tuzikov.

Clayton, Dubilier & Rice at 40. (2018) (*Link*)
Harvard Business School Case 819-055. With Josh Lerner and Terrence Shu.

AFFILIATIONS

External collaborator, Google DeepMind
Associate, Opportunity Insights, Harvard University
CEP and Programme on Innovation and Diffusion, LSE

AWARDS

AEJ: Applied Economics, Excellence in Refereeing Award	2026
LSE Class Teaching Bonus Awards	2025, 2026
Michio Morishima Fund, STICERD	2024, 2025
Doctoral Fellowship, Department of Economics, LSE	2021
Annual Fund Scholar, Columbia University	2015
Indian National Mathematical Olympiad (top $\sim$ 300 from India)	2009

REFEREEING

AEJ: Applied Economics

PRESENTATIONS

(by coauthor)*

2026: European Finance Association; Econometric Society ESM; EEA Summer Meeting; Econometric Society NASM; POID; Network Science in Economics (plenary session); HEC Paris PhD conference
2025: Econometric Society World Congress; CEP Annual Conference; LBS TADC; Warwick PhD conference; Cambridge Janeway Networks workshop
2024: Harvard Macro Lunch; HBS Finance Lunch; European Association of Young Economists; NSF Network Science in Economics; INSEAD-Collège de France; Workshop on Entrepreneurial Finance and Innovation (student workshop)
2020-23: Economics of Creative Destruction conference*; HBS Entrepreneurial Management*;

KCL-College de France; World Inequality Conference, PSE; INSEAD-Collège de France; HEC Finance Doctoral Workshop*

TEACHING (*TA for*)

PhD

LSE, Static Optimization and Fixed Points (Francesco Nava)	Fall 2025
LSE, Dynamic Programming and Differential Equations (Dimitry Mukhin)	Fall 2025
LSE, Graduate Workshop on Networks; Instructor, co-organizer	Summer 2024
LBS, Microeconomic Theory (Emre Ozdenoren, Jean-Pierre Benoit)	Fall, Spring 2022-24

Masters

LSE, Macroeconomics (Matthias Doepke)	Fall 2025
SciencesPo, Microeconomics for Decision Makers (Charles P. Oman)	Spring 2021
SciencesPo, Political Economy of International Development (Charles P. Oman)	Fall 2020
SciencesPo, Global Inequality and Sustainability (Lucas Chancel)	Fall 2019, 2020
Columbia University, Resource Allocation in Education (Henry M. Levin)	Spring 2017
Columbia University, Economics of Education (Henry M. Levin)	Fall 2016

Undergraduate

LSE, International Economics (Isabela Manelici, Jose Vasquez)	Summer 2025
LSE, Macroeconomics II (Mohan Bijapur)	Spring 2025
LSE, Advanced Corporate Finance (Juanita Gonzalez-Uribe, Ashwini Agrawal)	Summer 2024
LSE, Microeconomics (Christopher Sandmann, Pascuale Schiraldi)	Summer 2024
LSE, Economic Reasoning (Ricardo Reis), Microeconomics I (Ronny Razin)	Fall 2022, 2023

RESEARCH EXPERIENCE (*RA for*)

Imperial College London (Ramana Nanda)	2022
Collège de France (predoc) (Philippe Aghion)	2020
Paris School of Economics (Olivier Compte), World Inequality Lab (Lucas Chancel)	2019
Harvard Business School (Josh Lerner, Victoria Ivashina, Ramana Nanda)	2018
Columbia Law School (Katharina Pistor)	2016

RESEARCH SUMMER SCHOOLS

Econometric Society, Dynamic Structural Econometrics	2025
NBER Entrepreneurship Research Boot Camp	2024
Israel Institute for Advanced Study (bounded rationality, imperfect cognition)	2023
University of Chicago, Human Capital and Economic Opportunity	2018
Institute of Mathematical Sciences, India (analytic number theory; graduate level)	2012

LSE SERVICE

Co-head, Economics PhD Applicant Mentoring Program (AMP); Labor Student Seminar

SKILLS

Stata, R, Python, LaTeX (*Last updated:* November 2026)